

Structured Options Program for BTC Mining Counterparties

Bespoke Hedging & Yield Generation
Proposal for MARA Holdings



MARATM

MARA Holdings (Q1 2026 Earnings Call Highlights)



35,303

BTC on Balance Sheet

4th largest corporate BTC treasury globally



20,880

BTC Sold in Q1

Used to pay down debt and repurchase convertible notes



2,247

BTC mined Q1

~ 25 BTC/day



72.2 EH/s

Energized Hashrate

Increase 33% YoY

As MARA diversifies into power and AI infrastructure, custom OTC derivatives can provide capital efficiency while maintaining BTC exposure.

BTC REVENUE CHALLENGES

100% Spot Exposure

Pure delta exposure

Equity Correlation

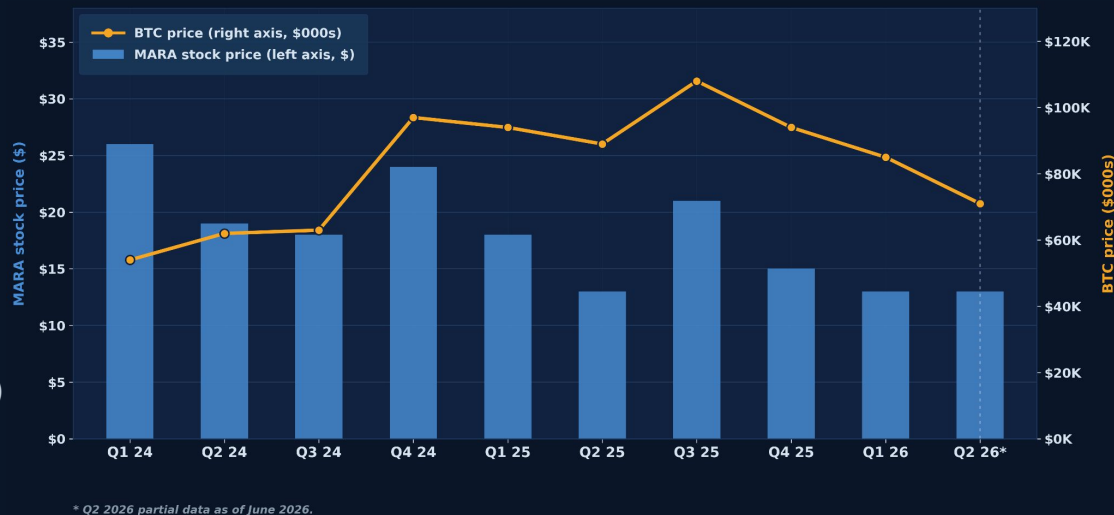
MARA's stock is a leveraged proxy for BTC price →

Capex Funding Risk

Infrastructure expansion (e.g. Long Ridge Energy acquisition) requires treasury stability and liquidity management.

Shareholder Pressure

Institutional investors view large volatility and earnings swings unfavorably.



BLOCKCHAIN'S PROPOSED SOLUTION — OTC OPTIONS

RISK MITIGATION



Protective Put (Downside Hedge)

- Insurance on BTC portfolio
- Full upside participation preserved
- Discreet OTC execution
- Custom strike level, tenor, and notional

TREASURY PROTECTION



Zero-Cost Collar (Hedge + Yield)

- Buy put + sell call = zero net premium
- Establish BTC price bands
- Tailored strike levels and tenor based on treasury objectives.
- Flexible premium structure, from zero-cost to partial premium depending on strike width

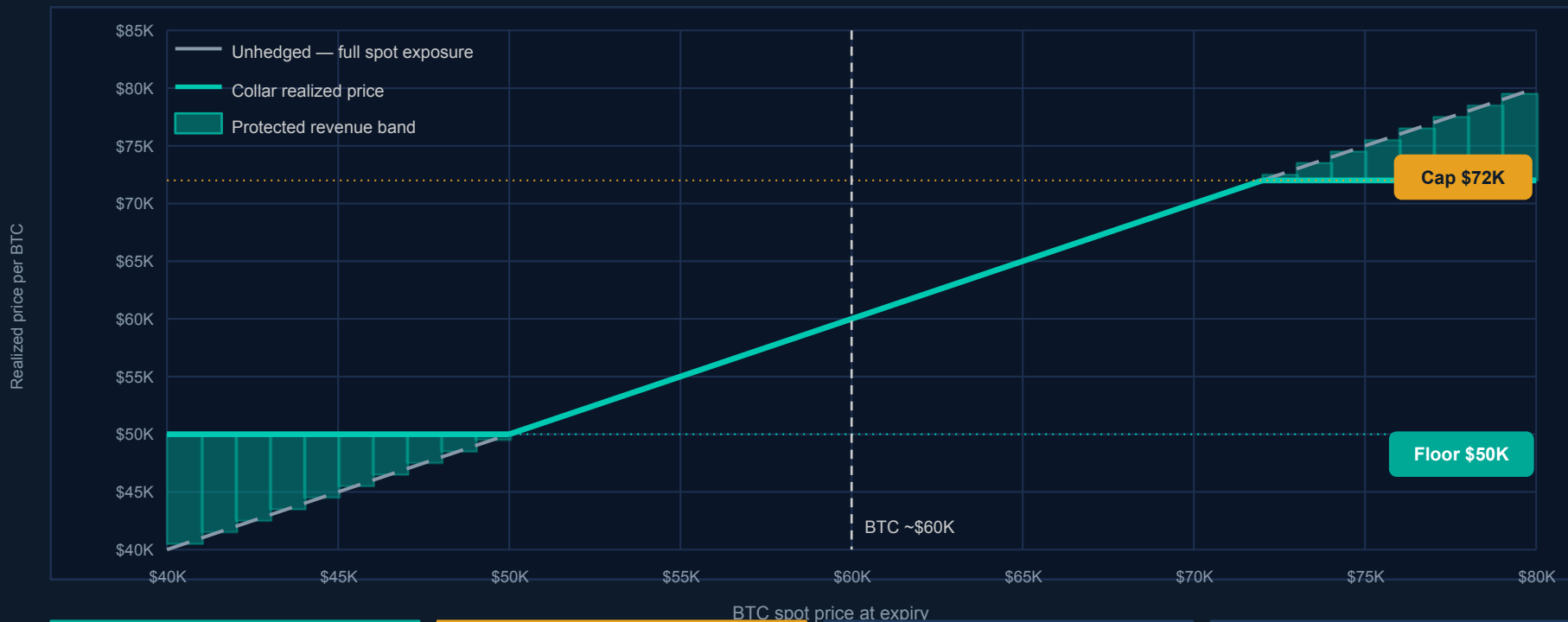
YIELD GENERATION



Covered Call (Yield)

- Generate premium yield income on held BTC
- Improved capital efficiency on idle BTC
- Premium paid upfront = immediate cash flow
- Custom range-bound yield strategy

ILLUSTRATIVE ZERO-COST COLLAR ON MINED BTC



Floor strike

\$50,000

Minimum realized price

Cap strike

\$72,000

Upside participation limit

Protected band

\$22,000

Fully customizable width

Net premium

Zero cost

Put funded by call sale

** Illustrative only. Strikes and tenors customized for MARA objectives.*

WHY BLOCKCHAIN



Institutional OTC Desk

Blockchain's OTC desk operates at the center of a full-stack ecosystem, combining spot, options, custody, staking, and lending in a single regulated platform.



Crypto-Native From Day One

Blockchain pioneered the first Bitcoin explorer and has facilitated over \$1.1 trillion in transactions over 15 years.



Fully Customizable. No Exchange Required

Bespoke OTC contracts: choose strike, expiry, and underlying. Flexible settlement arrangements.



24/7 Execution. Spot, Options, and Perps

White-glove service for around the clock trading including spot on 600+ digital assets.

OTC STRATEGY IMPLEMENTATION

Proposed Next Steps:

MARA Holdings

- 1) Define Treasury Objectives
- 2) BTC Production Forecast Review
- 3) Structure Customized OTC Strategies
- 4) Execute Master Agreement/ISDA/CSA Documentation and Complete Onboarding
- 5) Establish Execution & Settlement Workflows
- 6) Ongoing Monitoring & Risk Management



Blockchain